Customer segmentation report: Online Retail

Overview

Most sales come from a small set of buyers. I looked at past orders using recency, frequency, and spend, then split users into distinct groups.

A few top accounts drive the business. Meanwhile, over a third of past buyers have stopped buying. Sending the same emails to everyone is just a waste of cash. The store needs to keep top accounts happy while cutting spend on lost ones.

The numbers:

I cleaned the dataset by dropping canceled orders. That left 4,338 real buyers.

- **Top buyers dominate:** Champions and Loyal Customers make up 33.65% of the accounts. Together, they bring in over 65% of total sales.
- **Champions spend heavy:** Champions buy every 5.9 days on average. They average 12.4 orders and spend 6,857.94 dollars each.
- **High dormant share:** Hibernating and At Risk buyers account for 37.92% of the user base. They have not placed an order in 5 to 7 months.
- **Single-purchase drop-off:** Hibernating, About To Sleep, and Promising groups average barely one order per customer before going cold.

Actions:

- **Keep top buyers:** Do not send them discount codes. They already pay full price. Give them direct support lines and early access to new stock.
- **Win back past regulars:** Reach out to the 63 Cannot Lose Them accounts. They spent an average of 2,796.16 dollars across 8.4 orders before stopping. Send a direct note asking what went wrong, plus credit toward a fresh order.
- **Push for the second order:** The 42 New Customers bought within the past 7 days. Send an automated follow-up five days after delivery offering complementary items to lock in order two.
- **Stop spending on dead accounts:** Cut paid retargeting ads for the 1,065 Hibernating users who have been dormant for over 200 days. Run one low-cost email clean-up push, then drop unengaged contacts.